

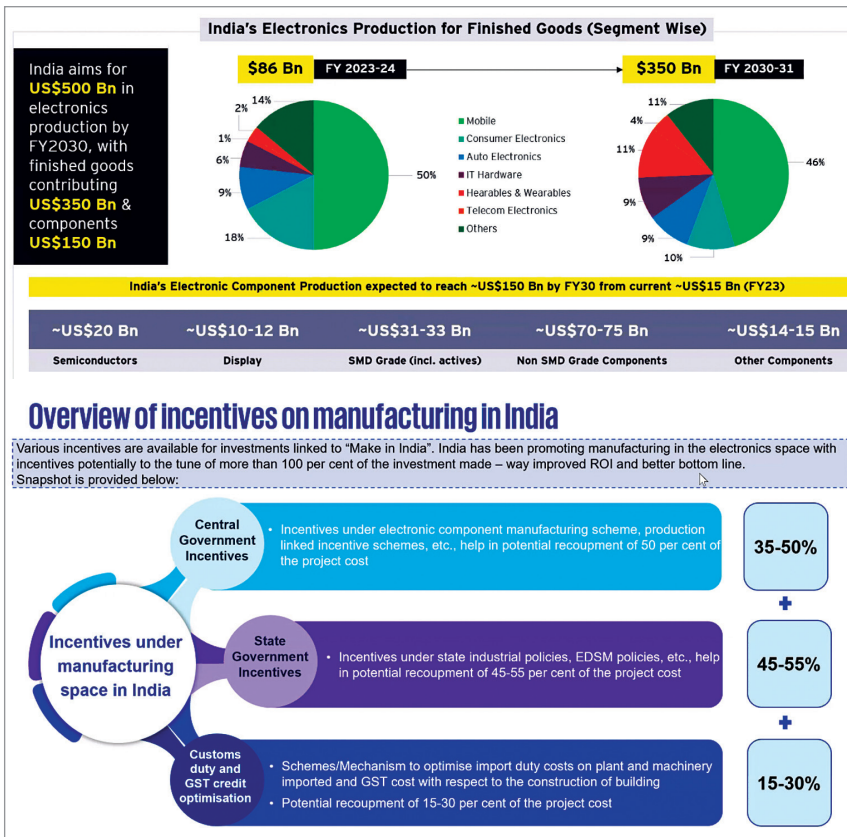


Fig 1: India's electronics landscape and overview of incentives on manufacturing in India

credits. The incentives, tailored to component categories and production models, aim to reduce import reliance, attract investment, enhance value addition (currently just 15-18%), and integrate Indian firms into global value chains. Driven by 'Make in India' and supported by a robust policy framework, India is positioning itself as a key player in the US\$2900 billion global electronics market.

Why ECMS? The strategic need

Despite India's emergence as a major hub for electronics assembly, a staggering 70-80% of components, resistors, capacitors, connectors, and more, are still imported, mostly duty-free under ITA-11. This heavy reliance inflates the import bill, limits domestic value addition, and exposes India to global supply

chain shocks. The Covid-19 pandemic highlighted these vulnerabilities, as supply disruptions threatened the entire industry. The ECMS seeks to change this dynamic by enabling India to transition from an assembler to a true manufacturing leader.

Scheme scale, scope, and ambition

The ECMS is designed to catalyse India's electronics sector by attracting investments of ₹593.5 billion, achieving a targeted production output of ₹4565 billion, and generating 91,600 direct jobs, with many more expected indirectly. The scheme is open to both greenfield (new) and brownfield (existing) investments, covering a broad range of segments, including sub-assemblies, bare components, selected bare components, the supply ecosystem, and capital equipment.

ECMS offers three types of incentives to participating companies. The turnover-linked incentive is calculated as a percentage of incremental turnover over a base year and is reduced by 1% if employment thresholds are not met. This incentive is disbursed upon achieving specific sales or investment targets.

The details are shown in the Fig. 6.

The capex incentive is a percentage of capital expenditure, reduced by 5% if employment criteria are unmet, and is disbursed after investment and the commencement of commercial production. A hybrid incentive combines both turnover-linked and capital expenditure (Capex) incentives for specified goods, providing flexibility based

TABLE 1
KEY FACTS OF ECMS

Feature	Details
Budget	₹22,919 crore (US\$2.7 billion)
Duration	6 years (FY 2025-26 to 2031-32) with an optional one-year gestation period
Investment Target	₹593.50 billion
Output Target	₹4565 billion
Direct Jobs Target	916 billion
Application Start	- For sub-assemblies, bare components, and selected bare components: Opens 1st May 2025, for three months (possible extension) - For supply ecosystem and capital equipment: Two years from 1st May 2025 (possible extension)
Incentive Types	Turnover-linked, Capex, Hybrid
Base Year	FY 2024-25 (or FY 2025-26 with gestation)
Sectors Covered	Electronics, Industrial, Power, Auto